QA Findings Report - Transaction Monitoring Investigations

To: Head of TM Operations (simulated audience) · Generated 2026-10-22 · Synthetic portfolio work

Synthetic data - portfolio project. Transactions are from the synthetic SAML-D dataset; customer profiles are synthetic. The case notes and QA assessments were reviewed by the project author for factual accuracy and consistency. This is the author's validation, not an independent or blind QA review. This is not Barclays work and carries no compliance endorsement.

Headline

24 sampled alerts were investigated and QA-reviewed against a 19-question checklist (sections A-G). Outcomes: **0 Fail**, 1 Pass with observations, 23 Pass; mean quality score 98.8/100. Dispositions: 19 internal disclosure to the MLRO, 5 L2 referral, 0 closed. **The pass rate is not evidence of investigator quality.** The QA assessments were prepared in the same workflow as the case notes, which were drafted after the first review and avoided its findings, and were validated by the author rather than an independent reviewer.

Scenario effectiveness (11,295 alerts; labels used retrospectively only)

Scenario	Alerts	Accounts	Laundering-labelled windows
TM01 Structuring (repeated cash deposits)	375	349	12.5%
TM02 Rapid movement of funds	1,520	1,364	1.8%
TM03 High-risk jurisdiction exposure	3,956	3,845	1.2%
TM04 Fan-in (many distinct senders)	1,556	1,556	0.4%
TM05 Fan-out (many distinct receivers)	1,615	1,615	0.0%
TM06 Behavioural change vs history and profile	2,273	2,252	0.4%

Top error themes

By attribution (18 records): Process or template weakness 6; Calibration point 6; Investigator error 3; Data limitation 3. Only investigator errors are scored. **Segments:** 19 Personal Banking, 5 Business Banking. **Timeliness (5-working-day target, portfolio assumption):** Not verifiable (no case-handling dates) 23; Within target 1; 0 recorded outside tolerance.
Scored findings (3: 3 Minor; in CASE-001): SCP-01 (CASE-001): Available pre-lookback history (2022-10-07 to 2022-11-16) not reviewed despite a self-identified funding gap of 450,737.03 and a prior TM05 alert at the lookback boundary; CP-02 (CASE-001): Escalation summary does not carry forward the material counterparty identifiers, directions, counts and totals held in the evidence; ACT-01 (CASE-001): Outstanding screening and counterparty-verification actions identified but not routed to an owner or the MLRO
Observations (15, not scored): borderline outcomes needing calibration 6; case packs listing later-dated alerts 3 (look-ahead defect, now fixed and corrected); data-quality issues 3 (accounts under two bank locations); disclosure-timing template gap 1; no timestamps for CASE-002 to CASE-024, so timeliness unverifiable 1; no escalation ownership procedure 1.

Root causes

Single-case findings give no evidence of cause (recorded as 'Not determinable'). The recurring themes are **system/data and procedure limitations** - template fields, case-pack generation, data quality and the absence of an escalation procedure - not investigator knowledge gaps.

Recommendations

1. Recalibrate the low-yield scenarios. TM05 1,615 alerts at 0.0%; TM04 1,556 alerts at 0.4%; TM06 2,273 alerts at 0.4% laundering-labelled windows, against 12.5% for TM01 (scenario_effectiveness.csv; labels used retrospectively only). Review the thresholds and design of these scenarios before allocating investigator capacity to their alerts.
2. Calibrate outcomes independently before relying on the QA pass rate. 6 outcomes are flagged as borderline (CAL-01), and the QA assessments were prepared in the same workflow as the case notes and validated by the project author. Have an independent reviewer re-review the borderline cases and blind-review the seeded training set before the pass rate is relied on.
3. Close the case-handling control gaps. Missing suspicion and disclosure timestamps (PRC-03, open); no escalation-ownership procedure (PRC-04, open); case packs listing later-dated alerts (PRC-02, 3 cases, closed). Investigator theme: available earlier history not reviewed (SCP-01, 1 case). Make disclosure timestamps mandatory, define escalation ownership, and add the earlier-alert rule (checklist A3) to investigator guidance.
Remediation priority: (1) the open process gaps PRC-03 and PRC-04, which affect every case; (2) independent calibration of the CAL-01 outcomes; (3) investigator feedback on the CASE-001 Minor findings. Three illustrative worked examples (Case Review Workbench) show how the same evidence produces a Critical fail, a Major fail despite a correct disposition, and a Minor-only pass.

Limitations and outstanding work

Currency of amounts unverified (GBP assumed); synthetic profiles; thresholds tuned in-sample on volume; the jurisdiction watchlist is a single FATF 23 June 2023 snapshot; window-level labels overstate what a rule caught. Appeals logged: 0. **Outstanding:** independent human calibration of the borderline outcomes; a genuinely blind review of the seeded training set (training/) to measure reviewer accuracy - no hit rate is claimed.